

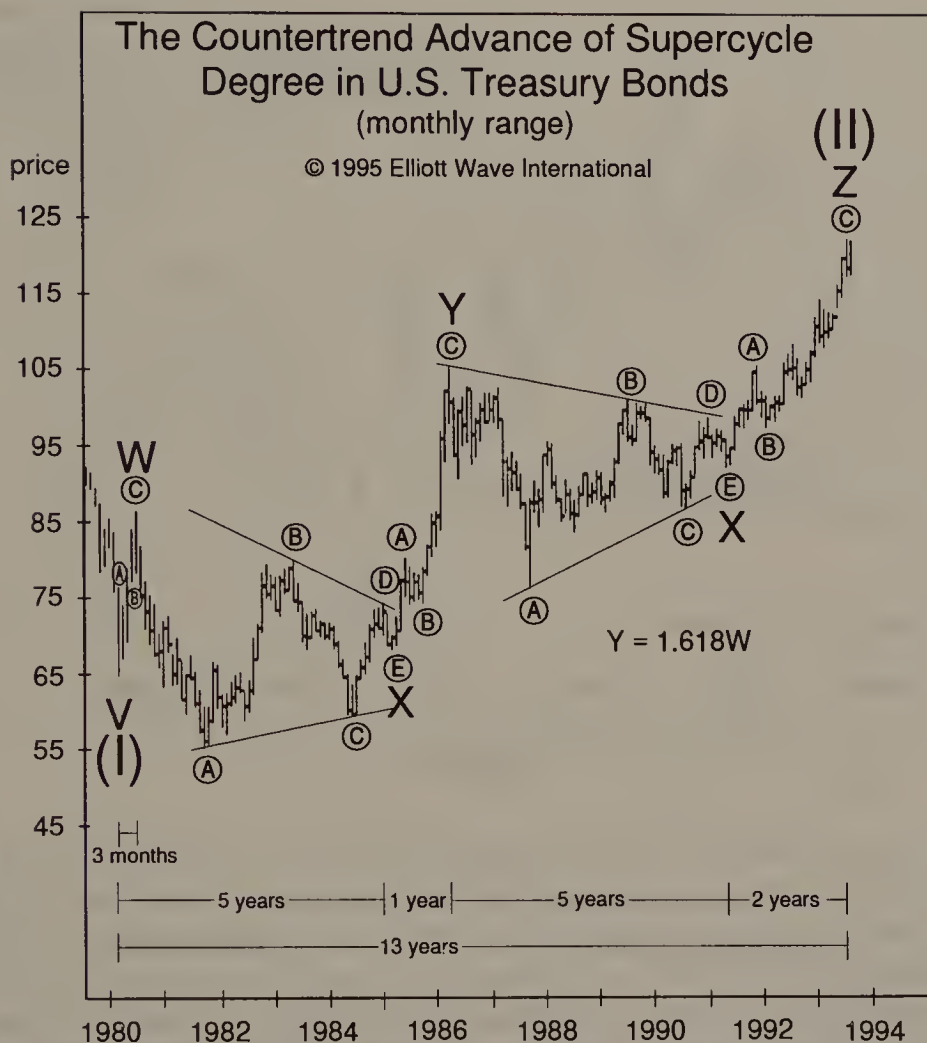


Figure 16-5

nacci .382 retracement of the 1946-1981 decline, marked a classic point of resistance, as explained in *Elliott Wave Principle*. The dashed line in Figure 16-3 was drawn back in the early 1980s as the best estimate for the ultimate peak.

The final months of advance in the 30-year Treasury bond slightly exceeded this target (see Figure 16-11) as wave Z exceeded its ideal length of equality with wave W. However, 10-year Treasury notes and the Bond Buyer index of twenty municipal bonds stopped exactly at this classic point of resistance, as *The Elliott Wave Theorist* noted at the time in the last quotation cited above. Figure 16-6 shows the outcome, revealing a textbook example of five waves down followed by three waves up, stopping right at the top of the previous fourth wave. (Note: in this and other measures, the ortho-